INSIGHT

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Every Node for Itself

AI, In-Housing, and the Network That Keeps Companies Honest

Companies and public institutions form a network of organizations that sell expertise to one another. AI has given every node in that network a reason to believe it can cut the others off. This paper is about what the cut wins, what it costs, and why the better use of AI is improving the nodes rather than severing them.

BY

Jason Adamson

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connect@monderman.com • www.monderman.com

ABOUT THIS PAPER

This is an insight paper, not primary research. It draws on published surveys, reporting, law, and public databases, attributed in the text and listed in the references. Database counts and survey figures are as of August 2026. Figure 1 plots documented database counts. Figure 2 is a conceptual rendering.

EXECUTIVE SUMMARY

Artificial intelligence gives organizations a real opportunity to bring routine expert work inside: lower cost, faster turnaround, and more control. But an outside firm carries more than output across the boundary. It also carries checking, learning gathered across clients, independent credibility, and a backstop when the work fails. Those functions rarely appear on the first savings estimate.

The result is a network problem. Every organization buying expertise is also selling something of its own. If every node uses AI to cut its suppliers, the same logic returns through its customers. The better outcome is not refusing AI. It is using AI inside both companies and specialist firms, bringing routine work inward while preserving the connections that add independent capability and accountability.

The gain

Routine work becomes cheaper, faster, and easier to control inside the organization.

The hidden cost

Checking, shared learning, trust, and a responsible backstop travel through the network's connections.

The decision

In-house the routine work. Preserve the relationships that add independence, judgment, and accountability.

THE WORKING PRINCIPLE

AI improves what a node knows. It cannot replace what a node is connected to.

The network

Every organization buys expertise from other organizations. A hospital hires a law firm. A city hires an engineering firm. A software company hires an accounting firm, a security firm, and a design shop. The firms hire each other too.

This layer of business-to-business work exists for a simple reason. Expertise piles up where people do the same work all day for many different customers. A lawyer who writes employment contracts for two hundred companies gets better at them than a manager who writes one a year. And once expertise piles up somewhere, it gets sold. That is the whole model: concentrate, then sell.

The result is a network. Each organization is a node in it, a point connected to the ones it buys from and the ones it sells to. Every node is both customer and supplier. The bakery buys accounting and sells bread. The accounting firm buys software and sells accounting. Nobody designed this network. It grew because it worked: each node got to be good at one thing and buy the rest. This paper is about that layer, the buying and selling of expertise between organizations, and about what happens to it now.

02 | THE SEVERING

AI has given the nodes a new idea: maybe they no longer need each other.

The idea is easy to measure in its early form. In a survey published in March 2026 by FTI Consulting and Relativity, 87 percent of general counsel said their teams now use generative AI, up from 44 percent a year earlier. In research from the Association of Corporate Counsel, legal departments said plainly what they intend to do with it: bring work in-house and cut what they pay outside firms. More than half expect to rely less on outside lawyers. Those numbers measure adoption and intent. The cutting itself is only beginning to show up in spending, which is exactly why this is the moment to think it through.

What a full cut looks like

The clearest public record of a full cut and reversal comes from just outside the expert layer, and it is worth reading anyway. In 2024, Klarna, a Swedish payments company, said its AI assistant was doing the work of about 700 customer service agents. Fourteen months later, its chief executive said the company had chased cost too hard, quality had dropped, and it was hiring people again. The assistant stayed. The plan to remove the people around it did not.

That is the severing: a node cutting its connections because it believes AI can replace what came through them. Part of the belief is correct. AI really can do a growing share of what outside firms used to sell.

Two earlier Monderman insights cover the adjacent questions this paper will not repeat. Merit After the Machine examines how AI weakens the evidence institutions use to recognize skilled and conscientious work. From Tokens to Outcomes examines the economics of enterprise AI and the intermediary layer forming between institutions and foundation-model providers. This paper asks a narrower question: what a node gains when it cuts itself loose, what it loses, and what happens if everyone does it at once.

AI improves what a node knows. It cannot replace what a node is connected to.

03 | WHAT THE CUT WINS

Honesty first: severing has real benefits, or nobody would try it.

The work gets cheaper. Routine contracts, research, first drafts, standard designs, basic analysis: AI produces all of it inside the company for a fraction of an outside firm's bill. The work gets faster, with no waiting on a vendor's schedule. And the company gets control. Its information stays home, its priorities come first, and nobody bills by the hour.

For routine work with quick feedback, those benefits are real, and this paper does not argue against taking them. A first draft that a senior person rewrites, a prototype that gets tested, an analysis a meeting will pull apart: mistakes in that kind of work get caught in the next step anyway. That kind of work can come inside, and much of it will.

The boundary

> Not every outside relationship deserves to be preserved. Monderman's Compensatory Systems showed how external actors can sometimes preserve output by routing around internal dysfunction - valuable in the moment, but dangerous when the workaround becomes the operating model. The distinction is between a connection that adds independent capability - checking, shared learning, credibility, or accountability - and one that merely compensates for an internal failure that should be repaired. AI should help leaders tell those relationships apart.

04 | WHAT THE CUT COSTS

The costs show up in four places, and they are easy to miss because none of them appears on the first spreadsheet.

First, the checking. AI's output looks finished whether it is right or wrong, and telling the difference takes someone who knows the field. There is now a public record of what happens without that someone. A researcher named Damien Charlotin keeps a database of court cases in which people filed AI-invented citations and fake quotes. It held about 200 cases in mid-2025. It passed 700 in January 2026, passed 1,500 in June, and now stands above 1,900. Courts catch these because the other side's lawyer is paid to check. Most work has no opposing lawyer. A bad contract, a wrong tax filing, or a flawed policy just sits there, wrong, until the day it matters. Cutting the outside firm does not change how often AI is wrong. It removes the person who would have caught it.

AI hallucination cases in court decisions

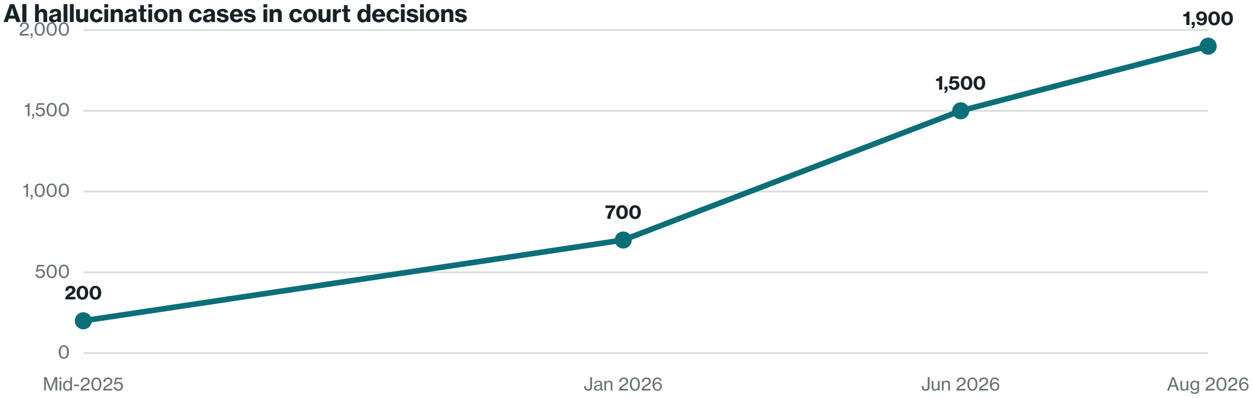

Figure 1. Cumulative decisions in Damien Charlotin's public database, as of August 2026.

What the spreadsheet misses

Second, the shared learning. An outside firm sees the same problem at many companies, so each client gets the benefit of all the others' bad days. The security business shows what that is worth. Mandiant, a security firm now owned by Google, investigates network break-ins for a living. In its latest yearly report, covering the break-ins serious enough to investigate, companies had discovered the intrusion on their own only 52 percent of the time. The other half of the time, someone outside told them: a partner, a government agency, a researcher, or the attackers themselves. Half the time, even finding out you have been robbed is something the network does for you. An isolated node learns only from its own disasters.

Third, the trust of everyone else. A company's word about itself is worth very little, and the business world is built around that fact. Investors require audits from outside accountants. Customers ask for security reports that only an outside examiner can issue. Company law protects directors who rely in good faith on expert advice, and in the deals that get challenged, boards that bought outside opinions have fared far better than boards that graded their own work. Insurers demand outside assessments before they write a policy. AI makes a company's self-checks cheap and fast, but a self-check was never what anyone else wanted. A node that isolates keeps producing answers about itself. It just loses everyone who was willing to believe them.

Fourth, the backstop. When an outside firm's work fails, there is someone to hold responsible: a firm with insurance, a license, a contract, and a name to protect. When in-house AI work fails, the company absorbs the whole loss, and the AI vendor's contract accepts little responsibility for whether the answers were right. So severing does not even remove the dependence on outsiders. It trades an outside firm that answers for its work for an outside software seller that does not.

The first of these costs arrives quickly. The other three arrive slowly, and that is what makes them dangerous. A node can feel fine for years while its learning, its credibility, and its protection quietly drain away.

01	02	03	04
Checking	Shared learning	Trust	Backstop

The logic comes back

There is one more consequence, and it is the one severing companies think about least. Every node that cuts off its suppliers is itself a supplier. The company dropping its law firm sells something to customers of its own, and those customers are running the same numbers about it. The logic of severing does not stop where you would like it to stop.

Taken all the way, that logic dissolves the network: each organization trying to be everything to itself, all with the same AI, none learning from the others, none checking the others, none trusting the others. That is not a stronger position. It is a thousand isolated boxes, each one confident, none of them checked.

Everyone optimizing in the same direction at once has gone badly before. In the 1990s and 2000s, companies pushed outsourcing about as far as it could go, until supply chains snapped under stress and some of the work had to be bought back at a premium. The correction cost real money, and the bill went to the companies that overdid it. Overdoing it in the other direction will be corrected the same way.

> Monderman has described this broader pattern as terminal fidelity: a rule that works within limits becomes destructive when it is followed past its stopping point. AI-enabled in-housing is useful while it removes avoidable cost and delay. Its stopping point arrives when the next cut begins removing independent checking, shared learning, credibility, and accountability faster than it removes waste.

Meanwhile, the oldest outside institutions keep working. Company books have been checked by outsiders for well over a century, and ships have been inspected for insurers since 1760, because nothing yet has made 'trust me' an acceptable answer between strangers.

A rule that works within limits becomes destructive when it is followed past its stopping point.

Put AI into the nodes

The alternative to severing is not refusing AI. It is putting AI into the nodes instead of using it to replace them.

An audit firm with AI checks deeper for the same fee. A security firm with AI watches more networks and warns everyone faster. A law firm with AI answers in hours instead of weeks. The same technology that tempts a company to cut these firms off makes each of them better at the exact thing the company was buying. And the company's own people get the same upgrade. A small inside team with AI, connected to strong outside firms with AI, is stronger at both ends than either one alone.

The network will not come through unchanged, and this paper does not pretend otherwise. AI will shrink some nodes, kill some, and create new ones. The routine work that once paid many bills is going away, and the firms that survive will be selling judgment, independence, and accountability rather than paperwork. That is disruption, and it is already underway. It is also normal: the network has always replaced nodes that stopped earning their place.

But a network reorganizing is not a network dissolving, and the record in this paper points one way. Organizations do better as good nodes in a working network than as isolated boxes trying to be everything. The gains from AI are real in both versions. In the connected version they compound, because every node's improvement reaches every other node. In the isolated version, each node improves alone and loses the checking, the shared learning, the trust, and the backstop that the connections carried.

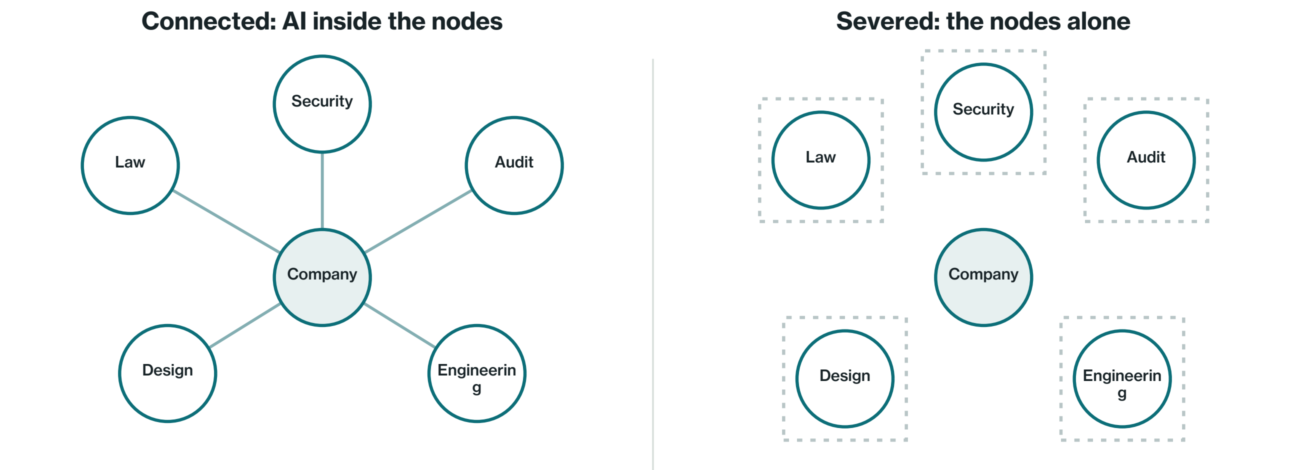

Figure 2. The same network, two ways of adding AI. Conceptual rendering.

What a connection is worth

None of this is an argument about protecting jobs. That question matters, and it belongs to a different paper. This one is arithmetic and record. A node is valuable for what it knows and for what it is connected to. AI improves what a node knows. It cannot replace what a node is connected to.

WHAT THE CONNECTIONS CARRY

01 Checking

Expert review that catches errors before they sit, unnoticed, until the day they matter.

02 Shared learning

The benefit of problems seen across many companies, rather than one organization's disasters alone.

03 Trust

Independent assurance that customers, investors, insurers, and other outsiders are willing to believe.

04 Backstop

A firm with a contract, license, insurance, and reputation that answers when its work fails.

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THE CLOSING ARGUMENT

AI improves what a node knows. It cannot replace what a node is connected to.

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ABOUT THE AUTHOR

Jason Adamson is the founder of Monderman, an institutional performance research company. He is the author of *Governance, Bureaucracy and Organization: Stewardship, Drift, and Administrative Capacity* (Routledge, forthcoming). His career spans more than two decades of deep experience in intelligence analysis across the U.S. government, alongside private-sector experience at CrowdStrike and in startups. He holds an M.S. in Organization Development from Pepperdine University.

ABOUT MONDERMAN

Monderman is an institutional performance research company building Deterministic AI Infrastructure for organizational diagnostics. Its diagnostic platform produces structured operational reads for enterprises across sectors, including defense, healthcare, government, financial services, technology, manufacturing, and higher education.

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Organizations deliver at the speed of their administrative reality.

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